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In The  
Supreme Court of the United States  
October Term, 1994

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CITY OF MILWAUKEE,

*Petitioner,*

v.

CEMENT DIVISION, NATIONAL GYPSUM  
COMPANY, et al.,

*Respondents.*

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Petition For A Writ Of Certiorari  
To The United States Court Of Appeals  
For The Seventh Circuit

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PETITION FOR A WRIT OF CERTIORARI

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October 31, 1994

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**QUESTION PRESENTED**

In an admiralty collision case, is a genuine dispute regarding liability in a mutual fault case a peculiar circumstance permitting the district court in its discretion to deny a request for prejudgment interest by a party bearing twice as much fault as the party from whom interest is sought?

## LIST OF PARTIES

The parties to the proceedings below were the petitioner City of Milwaukee and the respondents Cement Division, National Gypsum Company; Reed & Brown, Inc.; New York Marine Managers, Inc.; Allstate Insurance Company, c/o American Marine Underwriters, Inc.; Highlands Insurance Company; Employers Casualty Company of Texas, c/o Texas Marine Underwriters Agency, Inc.; Donald H. Miller, Inc.; U.S. Fidelity and Guarantee Company; Great Lakes Protective Association; The Atlantic Companies; Lloyds Underwriters, Institute Companies, including: Commercial Union Assurance Co. Ltd., "I" A/o. Andrew Weir Insurance Co. Ltd., English & American Insurance Co. Ltd., "M" 1 A/o., Orion Insurance Co. Ltd., "T" A/o. Yasuda Fire & Marine Insurance Co. (U.K.) Ltd., "T" A/o., Atlas Assurance Co. Ltd., "T" A/o., Phoenix Assurance Co. Ltd., British Law Insurance Co. Ltd., Road Transport and General Insurance Co. Ltd., Insurance Company of North America (U.K.) Ltd., "G" A/o., Insurance Company of North America (U.K.) Ltd., "O" A/o., Home Insurance Co. Ltd., "X" A/o., London & Hull Maritime Insurance Co. Ltd., Hanover Insurance Co. Ltd., Sphere Insurance Co. Ltd., Drake Insurance Co. Ltd., Bishopsgate Insurance Co. Ltd., "F" A/o., British Law Insurance Co. Ltd., No. 2 A/o., Minster Insurance Co. Ltd., No. 2 A/o., Insurance Corporation of Ireland, "L" A/o., Folksam International Insurance Co. (U.K.) Ltd., Terra Nova Insurance Co. Ltd. per Andrew Drysdale Ltd., Economic Insurance Co. Ltd., "GENERAL" A/o., c/o Willis, Faber & Dumas Ltd., Ten Trinity Square, London EC3P 3AX England.

Petitioner, City of Milwaukee, has no parent companies, subsidiaries, or affiliates to list pursuant to Rule 29.1.

## TABLE OF CONTENTS

|                                                                                                                                                                                    | Page |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| QUESTION PRESENTED.....                                                                                                                                                            | i    |
| LIST OF PARTIES .....                                                                                                                                                              | ii   |
| TABLE OF AUTHORITIES .....                                                                                                                                                         | iv   |
| OPINIONS BELOW.....                                                                                                                                                                | 1    |
| JURISDICTION .....                                                                                                                                                                 | 2    |
| STATEMENT OF THE CASE.....                                                                                                                                                         | 3    |
| REASONS FOR GRANTING THE WRIT .....                                                                                                                                                | 7    |
| The Seventh Circuit's Decision, Although Consistent with the Decisions of the Ninth and Sixth Circuits, Directly Conflicts with Decisions of the Fifth and Eleventh Circuits ..... | 7    |
| CONCLUSION .....                                                                                                                                                                   | 14   |
| APPENDIX                                                                                                                                                                           |      |
| Decision of the United States Court of Appeals for the Seventh Circuit (August 5, 1994) .....                                                                                      | 1a   |
| Amending Order of the United States Court of Appeals for the Seventh Circuit (August 22, 1994).....                                                                                | 16a  |
| Judgment in a Civil Case of the United States District Court for the Eastern District of Wisconsin (May 28, 1993) .....                                                            | 18a  |
| Decision and Order of the United States District Court for the Eastern District of Wisconsin (May 28, 1993) .....                                                                  | 19a  |

## TABLE OF AUTHORITIES

Page

## FEDERAL CASES

|                                                                                                                                                 |               |
|-------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| <i>Alkmeon Naviera, S.A. v. M/V Marina L.</i> , 633 F.2d 789 (9th Cir. 1980).....                                                               | <i>passim</i> |
| <i>Anderson v. Whittaker Corp.</i> , 894 F.2d 804 (6th Cir. 1990).....                                                                          | 7, 9          |
| <i>Ceja v. Mike Hooks, Inc.</i> , 690 F.2d 1191 (5th Cir. 1982).....                                                                            | 11            |
| <i>Cement Div., Nat. Gypsum Co. v. City of Milwaukee</i> , 915 F.2d 1154 (7th Cir. 1990), <i>cert. denied</i> , 499 U.S. 960 (1991) .....       | 4             |
| <i>Cement Div., Nat. Gypsum Co. v. City of Milwaukee</i> , 31 F.3d 581 (7th Cir. 1994).....                                                     | 1             |
| <i>Inland Oil and Transport Co. v. Ark-White Towing Co.</i> , 696 F.2d 321 (5th Cir. 1983) .....                                                | <i>passim</i> |
| <i>McDermott, Inc. v. Clyde Iron</i> , 979 F.2d 1068 (5th Cir. 1992), <i>rev'd on other grounds</i> , 511 U.S. ____ 114 S.Ct. 1461 (1994) ..... | 13            |
| <i>Nat. G. Harrison Overseas Corp. v. American Tug Titan</i> , 516 F.2d 89 (5th Cir. 1975).....                                                 | 12            |
| <i>Parker Towing Co. v. Yazoo River Towing, Inc.</i> , 794 F.2d 591 (11th Cir. 1986).....                                                       | 11            |
| <i>Pluyer v. Mitsui O.S.K. Lines, Ltd.</i> , 664 F.2d 1243 (5th Cir. 1982).....                                                                 | 12            |
| <i>Sinclair Refining Co. v. S.S. Green Island</i> , 426 F.2d 260 (5th Cir. 1970).....                                                           | 6             |
| <i>The Maggie J. Smith</i> , 123 U.S. 349 (1887).....                                                                                           | 14            |

## TABLE OF AUTHORITIES – Continued

Page

|                                                                              |               |
|------------------------------------------------------------------------------|---------------|
| <i>United States v. Reliable Transfer Co.</i> , 421 U.S. 397<br>(1975) ..... | <i>passim</i> |
| <i>West Virginia v. United States</i> , 479 U.S. 305 (1987) .....            | 6             |

## UNITED STATES CODE

|                              |      |
|------------------------------|------|
| 28 U.S.C. § 1254(a) .....    | 2    |
| 28 U.S.C. § 1291 .....       | 2    |
| 28 U.S.C. § 1292(a)(3) ..... | 3    |
| 28 U.S.C. § 1333 .....       | 2, 3 |



No. \_\_\_\_\_

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In The  
**Supreme Court of the United States**

October Term, 1994

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CITY OF MILWAUKEE,

*Petitioner,*

v.

CEMENT DIVISION, NATIONAL GYPSUM  
COMPANY, et al.,

*Respondents.*

---

**Petition For A Writ Of Certiorari  
To The United States Court Of Appeals  
For The Seventh Circuit**

---

**PETITION FOR A WRIT OF CERTIORARI**

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The petitioner, City of Milwaukee, respectfully prays that a writ of certiorari issue to review the judgment and opinion of the United States Court of Appeals for the Seventh Circuit entered in the above-entitled proceeding on August 5, 1994.

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**OPINIONS BELOW**

The opinion of the Court of Appeals for the Seventh Circuit is reported at 31 F.3d 581 (7th Cir. 1994), and is reprinted in the appendix hereto. [1a]

The decision and order of the United States District Court for the Eastern District of Wisconsin has not been reported. It is reprinted in the appendix hereto. [19a]

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## JURISDICTION

Invoking federal jurisdiction under 28 U.S.C. § 1333, the respondents brought this suit in admiralty in the Eastern District of Wisconsin. The Eastern District bifurcated the trial of liability and damages, and liability was ultimately established as follows: two-thirds against respondents and one-third against petitioner.

After liability was established the parties settled all damages issues except whether respondents are entitled to prejudgment interest on the damages paid by the City. On May 28, 1993, the Eastern District adjudged that the petitioner was not liable to respondents for payment of prejudgment interest and dismissed the action on its merits. [18a]

Respondents appealed the decision of the Eastern District to the Seventh Circuit under 28 U.S.C. § 1291. On August 5, 1994, the Seventh Circuit entered an opinion and judgment reversing the Eastern District's denial of prejudgment interest. [1a]

The jurisdiction of this Court to review the judgment of the Seventh Circuit is invoked under 28 U.S.C. § 1254(a).

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## STATEMENT OF THE CASE

On December 24, 1979, the SS EM FORD, a self-unloading bulk cement carrier, loaded with 5,700 tons of bulk cement, was moored in a slip in Milwaukee's outer harbor on southern Lake Michigan. In the course of a severe winter storm, the FORD, over a twelve-hour period, broke loose from its moorings, battered against the headwall of the slip, tore holes in its hull, took on water and sank to the bottom of the slip.

The owners of the vessel, National Gypsum, and its insurers brought this suit in admiralty pursuant to 28 U.S.C. § 1333 against the City seeking \$6.5 million in damages. The suit alleged, among other things, that the City had negligently breached its duty as a wharfinger by failing to warn National Gypsum of the danger posed by weather to vessels in the berthing slip. The City denied fault and alleged in its counterclaim that National Gypsum was negligent in leaving the FORD moored in an outer harbor in winter virtually unmanned, and with no means of monitoring weather or summoning tugs or a pilot for assistance. The City sought to recover \$250,000 for damages to the dockwall caused by the vessel.

The trial was bifurcated, with the liability portion tried in January, 1986 to the district court without a jury. The district court, in an opinion rendered in June, 1989, found both National Gypsum and the City negligent and contributorily negligent, and found National Gypsum 96 percent at fault and the City 4 percent at fault.

National Gypsum by means of an interlocutory appeal pursuant to 28 U.S.C. § 1292(a)(3), appealed that portion of the district court's decision apportioning fault

96/4. The Seventh Circuit held that the district court's apportionment of fault was clearly erroneous and reapportioned fault two-thirds upon National Gypsum and one-third upon the City. *Cement Div., Nat. Gypsum Co. v. City of Milwaukee*, 915 F.2d 1154 (7th Cir. 1990), *cert. denied*, 499 U.S. 960 (1991).

Following remand, the parties negotiated a settlement of the damages issue. The parties agreed that the City owed the plaintiffs the amount of \$1,677,541.86 in damages, which the City promptly paid in January, 1992. The parties were unable to reach an agreement on the issue of prejudgment interest and submitted the issue to the district court to decide. National Gypsum requested the district court to award \$5,317,807.70 in prejudgment interest, which the City opposed. Following briefing on the issue, the district court denied the request for prejudgment interest.

The district court, although recognizing that an award of prejudgment interest is the general rule in admiralty, decided that under the peculiar circumstances of this case, it would be inequitable to require the City to pay prejudgment interest. The district court found that the case involved a genuine dispute over a good faith claim in a mutual fault case, and held that the mutual fault of the parties, including the fact that National Gypsum was two-thirds at fault, rendered any award of prejudgment interest inequitable. The district court also found that the City's status as a municipality undercut one of the reasons for awarding prejudgment interest. Prejudgment interest is awarded generally, the district court noted, because the shipowner has been deprived of money to repair the ship, while the wrongdoer is accruing interest on the money. In this case, however, the City

had not accrued interest on the amount owed and, accordingly, should not be treated as if it had. [19a] National Gypsum appealed.

In deciding the appeal, the Seventh Circuit examined the Ninth Circuit's decision in *Alkmeon Naviera, S.A. v. M/V Marina L.*, 633 F.2d 789 (9th Cir. 1980). The Ninth Circuit in *Alkmeon Naviera* held that in light of the comparative fault rule announced by this Court in *United States v. Reliable Transfer Co.*, 421 U.S. 397 (1975), mutual fault can no longer constitute a reason to deny an otherwise appropriate award of prejudgment interest. The Ninth Circuit reasoned that prior to this Court's ruling in *Reliable Transfer*, collision cases were decided in accordance with the equal division of damages rule. Under that rule, where both parties were found to be at fault for a collision, the parties' damages would be added together and the total would be divided between them. The party whose damages were lesser would pay to the other party one-half of the difference between their respective losses. The less culpable party would be required to pay one-half of the other party's damages. To award prejudgment interest to the more culpable party would penalize the less culpable party who, having paid one-half of the other party's damages, would have to pay interest on that amount as well. This potential for distortion of compensation led some courts to deny requests for prejudgment interest where the party seeking it was substantially more at fault. The Ninth Circuit reasoned that because this Court in *Reliable Transfer* replaced the equal division of damages rule with the comparative fault rule "distortions in compensation can no longer occur." *Alkmeon Naviera*,

633 F.2d at 798 n.12. Accordingly, the reason for denying prejudgment interest no longer exists. [7a-9a]

The Seventh Circuit rejected what it characterized as the balancing of the equities approach used by the Fifth Circuit in *Inland Oil and Transport Co. v. Ark-White Towing Co.*, 696 F.2d 321 (5th Cir. 1983). In rejecting the Fifth Circuit's approach, the Seventh Circuit relied upon this Court's decision in *West Virginia v. United States*, 479 U.S. 305 (1987), which held that parties owing a debt to the federal government must pay prejudgment interest where the underlying claim is a contractual obligation to pay money. [9a-10a]

The Seventh Circuit also rejected the rationale of the Fifth Circuit stated in *Sinclair Refining Co. v. S.S. Green Island*, 426 F.2d 260, 262 (5th Cir. 1970), that uncertainty concerning ultimate liability which characterizes mutual fault cases mitigates against awarding prejudgment interest. The Seventh Circuit reasoned that the uncertainty concerning ultimate liability which existed under the equal division of damages rule does not exist under the comparative fault rule. [11a-12a]

Finally, the Seventh Circuit held that the City's status as a municipality does not constitute a peculiar circumstance warranting denial of prejudgment interest. The court found no precedent for the district court's decision, although the issue had not been raised in previous cases. [13a]

The Seventh Circuit adopted the rationale of the Ninth Circuit in *Alkmeon Naviera* and held that mutual fault of the parties in an admiralty collision case does not constitute a peculiar circumstance justifying denial of

prejudgment interest. Accordingly, the Seventh Circuit held that the district court's holding that a genuine dispute in a mutual fault case is a peculiar circumstance justifying the denial of prejudgment interest was clearly erroneous, reversed the judgment of the district court, and remanded for the calculation of prejudgment interest. [13a, 15a]

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### REASONS FOR GRANTING THE WRIT

**The Seventh Circuit's Decision, Although Consistent with the Decisions of the Ninth and Sixth Circuits, Directly Conflicts with Decisions of the Fifth and Eleventh Circuits.**

The Seventh Circuit, in deciding that mutual fault of the parties in an admiralty collision case is not a peculiar circumstance justifying denial of prejudgment interest, followed the decision of the Ninth Circuit in *Alkmeon Naviera, S.A. v. M/V Marina L.*, 633 F.2d 789 (9th Cir. 1980), and of the Sixth Circuit in *Anderson v. Whittaker Corp.*, 894 F.2d 804 (6th Cir. 1990). The decision of the Seventh Circuit in this case and the decisions of the Ninth Circuit in *Alkmeon Naviera* and the Sixth Circuit in *Anderson* directly conflict with decisions of the Fifth and Eleventh Circuits. In addition, the decision of the Seventh Circuit that the degree of fault of the party seeking interest is irrelevant, conflicts with the decision of the Fifth Circuit on this point.

### A. Mutual Fault

In *Inland Oil and Transport Co. v. Ark-White Towing Co.*, 696 F.2d 321 (5th Cir. 1983), the Fifth Circuit affirmed the district court's denial of plaintiff-tow's request for prejudgment interest where the court found the plaintiff-tow 25 percent at fault for the collision and the defendant-tow 75 percent. The Fifth Circuit held that "the existence of a genuine dispute regarding ultimate liability or the complexity of the factual and legal issues to be resolved" constitutes a "peculiar circumstance, justifying denial of prejudgment interest." *Id.* at 328. The Fifth Circuit rejected plaintiff's argument that because a "serious dispute" always exists at trial, it should not be a basis for denying prejudgment interest. The court stated as follows:

Yet a finding that a plaintiff was partially at fault weakens his equitable claim that his funds have been withheld by a recalcitrant party. Not surprisingly then, our cases have consistently upheld denials of prejudgment interest in cases of apportioned fault.

*Id.* at 328.

The Seventh Circuit held, contrary to the foregoing, that mutual fault is no longer a valid reason for denying prejudgment interest because comparative fault principles now apply in all admiralty collision cases, citing *United States v. Reliable Transfer Co.*, 421 U.S. 397 (1975). The Seventh Circuit reasoned that the rationale which compelled the Court to abrogate the equal division of damages rule in *Reliable Transfer* supports the conclusion that neither mutual fault nor the degree of fault of the party seeking interest is germane to the question of whether prejudgment interest should be awarded.

*Reliable Transfer* did hold that comparative fault principles were to apply in all admiralty collision cases, but did not discuss, much less address, the question of whether mutual fault justifies denial of prejudgment interest because that question was not before the Court. Several circuits have addressed the question in the context of a request for prejudgment interest of a party who had been found to be contributorily negligent. No circuit has previously addressed the question in the context of a request of a party who had been found to be *primarily* responsible for the casualty, as is the case with the insured shipowner here.

In support of its position, the Seventh Circuit cites *Alkmeon Naviera* and *Anderson*. Both cases utilize an analysis that has been rejected as flawed by the Fifth and Eleventh Circuits. In *Alkmeon Naviera*, the Ninth Circuit held that there were no "peculiar circumstances" justifying denial of prejudgment interest notwithstanding a finding that the plaintiff was 40 percent at fault. The rationale for the court's decision was that the abrogation of the equal division of damages rule in *Reliable Transfer* made it no longer necessary to deny prejudgment interest on mutual fault grounds because the distortion in compensation, which would occur by awarding prejudgment interest against parties who were slightly negligent, would no longer occur. *Alkmeon Naviera*, 633 F.2d at 798 n.12.

In *Anderson*, the Sixth Circuit followed *Alkmeon Naviera* in holding that mutual fault alone should not justify the denial of prejudgment interest in a wrongful death case brought under maritime law. The decision was

made in an action brought against the boat manufacturers, boat owners, and others by the families and representatives of boaters who had drowned. Plaintiffs' decedents were found to be 20 percent at fault.

The Fifth Circuit has not only declined to reconsider the rule governing the award of prejudgment interest in mutual fault cases, but has specifically rejected the rationale relied upon by the Ninth and Sixth Circuits. *Inland Oil and Transport Co. v. Ark-White Towing Co.*, 696 F.2d 321, 329. Commenting on the rationale in *Alkmeon Naviera*, the Fifth Circuit noted that prior to the decision in *Reliable Transfer*, courts made no distinction between denying prejudgment interest in collision cases and denying it in personal injury cases, although personal injury cases were not subject to the equal division of damages rule abrogated in *Reliable Transfer*, but instead were subject to the same comparative negligence rule that the court held was to apply in collision cases. *Id.* The court stated:

The flaw in this analysis is that comparative fault has long been the rule in maritime personal injury actions. See *United States v. Reliable Transfer Co.*, 421 U.S. at 408 at n. 13, 95 S.Ct. at 1714 n. 13. Yet courts drew no distinction between denials of prejudgment interest in collision cases and such denials in personal injury cases. The Ninth Circuit's intimation that denials of prejudgment interest were somehow tied up with the rule of divided damages is not persuasive. We conclude that *Reliable Transfer* does not require reexamination of the law regarding denials of prejudgment interest.

*Inland Oil and Transport Co.*, 696 F.2d at 329.

The Eleventh Circuit has followed the Fifth Circuit and has held that the existence of a genuine dispute regarding liability is one "peculiar circumstance" which may warrant denial of prejudgment interest, and that "the existence of such a peculiar circumstance is generally assumed in cases of apportioned fault." *Parker Towing Co. v. Yazoo River Towing, Inc.*, 794 F.2d 591, 594 (11th Cir. 1986).

### B. Degree of Fault

The Seventh Circuit rejected the idea that awarding prejudgment interest to a party two-thirds at fault for the collision might be inequitable. In contrast, the Fifth Circuit has consistently held that a high degree of contributory negligence constitutes a peculiar circumstance that would make it inequitable to award prejudgment interest.

In *Ceja v. Mike Hooks, Inc.*, 690 F.2d 1191 (5th Cir. 1982), the Fifth Circuit vacated a judgment rendered in favor of a deck hand which had been reduced 75 percent due to the deck hand's contributory negligence. The district court had denied prejudgment interest because of the degree of contributory negligence found on the part of the deck hand. The Fifth Circuit reversed the finding of 75 percent contributory negligence against the deck hand because the district court had considered a factor in the case that reflected an impermissible expansion of the limited duties placed upon seamen in the safe performance of their duties. *Id.* at 1194. Because the Fifth Circuit reversed the district court's finding on the

underlying issue of the degree of contributory negligence, it also reversed and remanded the derivative finding denying prejudgment interest. *Id.* at 1196. Having remanded the case for a new finding concerning contributory negligence and prejudgment interest, the court stated:

On remand, the issue for the trial court is whether the degree of contributory negligence it finds gives rise to a "peculiar circumstance" that would make it inequitable to apply the usual rule granting prejudgment interest. In the proper case, a high degree of contributory negligence might well be considered by the district court in invoking its discretion to deny prejudgment interest.

*Id.* at 1197.

In *Inland Oil and Transport Co.*, the Fifth Circuit relied in part upon this statement in upholding a denial of prejudgment interest claimed by a party who had been found 25 percent at fault. 696 F.2d at 328. The Fifth Circuit also noted with approval two of its previous cases where it had affirmed the denial of prejudgment interest because of the degree of contributory negligence by the party seeking the interest award: *Nat G. Harrison Overseas Corp. v. American Tug Titan*, 516 F.2d 89 (5th Cir. 1975) [affirming the denial of prejudgment interest to a bargeowner whose claim against a stevedoring operation had been reduced 50 percent because of the barge's unseaworthiness.]; and *Pluyer v. Mitsui O.S.K. Lines, Ltd.*, 664 F.2d 1243 (5th Cir. 1982) [upholding denial of prejudgment interest in a personal injury suit brought by a

longshoreman who had been found 40 percent contributorily negligent.] *Id.*

The Fifth Circuit recently reaffirmed its reasoning in *Inland Oil in McDermott, Inc. v. Clyde Iron*, 979 F.2d 1068 (5th Cir. 1992), *rev'd on other grounds*, 511 U.S. \_\_\_, 114 S.Ct. 1461 (1994). There the Fifth Circuit upheld a denial of prejudgment interest to the purchaser of a crane which was damaged along with the offshore platform deck it was lifting when the crane hook and sling broke. Fault was allocated 32 percent to the crane manufacturer, 38 percent to the hook manufacturer, and 30 percent to the purchaser and sling defendants with which the purchaser had settled. The court based its conclusion upon the existence of a genuine dispute over good faith claims in a mutual fault setting. The court stated:

"Our cases have consistently upheld denials of prejudgment interest in cases of apportioned fault."

*Id.* at 1081 (quoting *Inland Oil and Transport Co.*, 696 F.2d at 328). The court also approved a jury instruction which charged:

The circumstances which may justify denial of an award for pre-judgment interest are as follows: A genuine dispute over a good faith claim exists in a mutual fault situation – mutual fault setting; the damages awarded are substantially less than the amount claimed by the Plaintiff; *the Plaintiff's contributory negligence is to such a magnitude as to make and [sic] award of pre-judgment interest inequitable.* (emphasis added)

*McDermott, Inc.*, 979 F.2d 1068 at 1081 n.17.



## CONCLUSION

For over a century, this Court has held that an award of prejudgment interest in admiralty "rested in the discretion of the court below." *The Maggie J. Smith*, 123 U.S. 349, 356 (1887). In *The Maggie J. Smith*, this Court held that denying prejudgment interest to a party found not to be at fault for a collision is a proper exercise of the district court's discretion. This Court's decision in *Reliable Transfer* did not discuss, much less address, the question of whether the century old rule governing the awarding of prejudgment interest should be changed.

The decisions of the Seventh, Ninth and Sixth Circuits have replaced the discretion of the district court to equitably decide applications for prejudgment interest in mutual fault admiralty cases with a mechanical rule requiring the awarding of prejudgment interest irrespective of the degree of fault of the party seeking interest. The error in their reasoning is their conclusion that under the comparative fault rule "distortions in compensation can no longer occur." *Alkmeon Naviera*, 633 F.2d at 798 n.12. The fallacy of this conclusion is illustrated by this case.

The parties in this case agreed that National Gypsum's damages, less the offset for the City's damages, were \$5,032,625. Under the equal division of damages rule, the City would have been required to pay one-half of the damages amount to National Gypsum, or \$2,516,312, but the City would not have been obligated to pay prejudgment interest because it was the party lesser at fault. Under the equal division of damages rule, therefore, the City would have been required to pay \$838,771

more in damages than it would have been required to pay under the comparative fault rule, excluding interest. Under the comparative fault rule and the interest rule in *Alkmeon Naviera*, the City is required to pay one-third of the stipulated damages amount, \$1,677,541, plus prejudgment interest. In this case, National Gypsum claims \$5,317,807 in prejudgment interest, which would require the City to pay a total of \$6,995,348, which is \$1,962,723 more than the total stipulated damages amount, and \$4,479,036 more than it would have paid under the equal division of damages rule. It is therefore obvious that each rule results in distortion in compensation; however, the rule in *Alkmeon Naviera* can result, as in this case, in greater distortion in compensation in favor of the party who has the greater degree of fault than the equal division of damages rule.

It is no answer to say that the City enjoyed the benefit of holding on to the money while this case was pending, because the City, in fact, did not hold on to any money, and the fact that the litigation was lengthy was not the fault of the City. Some distortion in compensation will occur under either rule; however, whatever distortion occurs should be in favor of the party least responsible for the collision, and not in favor of the party primarily responsible for the collision. To impose upon a party one-third at fault damages in excess of the total damages incurred by the party two-thirds at fault is not only inequitable and unjust, but unconscionable.

The conflict between the Fifth and Eleventh Circuits, on the one hand, and the Seventh, Ninth and Sixth Circuits, on the other hand, will not resolve itself because

both sides have already considered and rejected the reasoning of the other side. The question can only be resolved by this Court and this Court should resolve it in this case so that the distortion in compensation which has occurred in this case is corrected and will not occur in the future.

For these reasons, the petitioner respectfully requests the Court to grant the petition.

Respectfully submitted,

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October 31, 1994

## APPENDIX



IN THE  
UNITED STATES COURT OF APPEALS  
FOR THE SEVENTH CIRCUIT

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No. 93-2545

CEMENT DIVISION, NATIONAL GYPSUM COMPANY, REED &  
BROWN, INCORPORATED, NEW YORK MARINE MANAGERS, INCOR-  
PORATED, et al.,

*Plaintiffs-Appellants,*

*v.*

CITY OF MILWAUKEE,

*Defendant-Appellee.*

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Appeal from the United States District Court  
for the Eastern District of Wisconsin.

No. 80 C 1001 – **Thomas J. Curran, Judge.**

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ARGUED FEBRUARY 25, 1994 – DECIDED AUGUST 5, 1994

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Before CUMMINGS AND MANION, *Circuit Judges*, and  
MILLER, JR., *District Judge*.\*

MANION, *Circuit Judge*. While moored at a berth in the Port of Milwaukee, a ship broke away, crashed into a headwall and sank. The ship's owners and insurers sued the city. The first appeal to this court resulted in a division of liability, two-thirds to the ship's owners and one-

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\*Hon. Robert L. Miller, Jr., District Judge for the Northern District of Indiana, is sitting by designation.

third to the city. On remand, the district court determined that because the parties were mutually at fault, and because the defendant was a municipality, the defendant would not be liable for prejudgment interest on its share of the amount of damages incurred. We reverse the district court and remand for the calculation of prejudgment interest.

### I.

This appeal is the latest chapter in a 15-year-old dispute arising out of an accident involving a ship called the S/S EM FORD ("FORD"). The facts surrounding the damage to the FORD and its cargo have been set out in copious detail in our previous disposition of this matter in *Cement Div., Nat. Gypsum Co. v. City of Milwaukee*, 915 F.2d 1154 (7th Cir. 1990), *cert. denied*, 111 S.Ct. 1583 (1991). For purposes of the present appeal, we offer only the following. The FORD was moored at a berth at the Port of Milwaukee, Wisconsin. During a storm, the FORD broke away, crashed into the headwall of its berth and sank to the bottom of the Milwaukee Harbor. Following this, the FORD's owner, the Cement Division of the National Gypsum Company, along with the ship's various insurers (referred to collectively as "National Gypsum"), commenced an admiralty action against the City of Milwaukee ("City"), claiming \$4.5 million in damages to the FORD and her cargo. The City denied liability, alleged contributory negligence on the part of National Gypsum and sought \$250,000 from National Gypsum for damage to the City's dockwall caused by the FORD.

At a bifurcated trial on the issue of liability, the district court found National Gypsum to be 96% negligent and the City 4% negligent. Following an interlocutory appeal, we reversed the district court's allocation of liability, and reapportioned the parties' liability, two-thirds to National Gypsum, one-third to the City. *See Nat. Gypsum Co.*, 915 F.2d at 1160.

Following remand, the parties negotiated the issue of damages. Pursuant to a settlement agreement, a judgment was entered against the City in the amount of \$1,788,541.86, which the City promptly paid over to the court. Hence, the only issue left for the district court to determine was whether National Gypsum was entitled to collect prejudgment interest – to the tune of \$5,317,807.70 – on the damages paid by the City. Following briefing on the issue, the district court denied National Gypsum's request for prejudgment interest. Although recognizing that an award of prejudgment interest is the general rule in admiralty, the district court determined that under the peculiar circumstances of this case it would be inequitable to require the City to pay prejudgment interest. Specifically, the district court determined that the mutual fault of the parties, including the fact that National Gypsum was two-thirds contributorily negligent, rendered any award of prejudgment interest inequitable.

Alternatively, the district court found that the City's status as a municipality undercut one of the reasons for awarding prejudgment interest. The district court noted that an admiralty plaintiff is awarded prejudgment interest because from the date of the loss, the plaintiff-shipowner has been deprived of the money to repair his ship while, at the same time, the wrongdoer has enjoyed the

use of the victim's money and is accruing interest on it. The district court observed that a municipality, "is not in [a] position. . . . to set aside an interest bearing fund at the time of loss, but can only levy taxes to pay a settlement or final judgment." *Decision and Order* at 5. The district court apparently reasoned that since the City had not been accruing interest on the amount owed to National Gypsum from the date of the accident, it should not be treated as if it had. This unique circumstance, the district court determined, constituted another reason why an award of interest would be inappropriate. This appeal followed.

## II.

The issue before us is whether the district court erred in denying National Gypsum's request for prejudgment interest. "The general rule in admiralty, in order to fully compensate the plaintiff, is to award prejudgment interest from the date of the accident." *Central Rivers Towing v. City of Beardstown*, 750 F.2d 565, 574 (7th Cir. 1984); accord *United States v. Peavey Barge Line*, 748 F.2d 395, 401, 402 (7th Cir. 1984); *Bunge Corp. v. American Comm. Barge Line Co.*, 630 F.2d 1236, 1242 (7th Cir. 1980); *First Nat. Bank of Chicago v. Material Serv. Corp.*, 597 F.2d 1110, 1120 (7th Cir. 1979). This general rule notwithstanding, admiralty law also recognizes that a district court has discretion to deny prejudgment interest where it finds that special or peculiar circumstances would render such an award inequitable. See *Central Rivers Towing*, 750 F.2d at 574; accord *Hillier v. Southern Towing Co.*, 740 F.2d 583, 585 (7th Cir. 1984). Examples of such peculiar circumstances include: (1) the unreasonable delay in filing the action by the

party seeking prejudgment interest; (2) false or frivolous claims; (3) the inability to determine liability and the extent of damages eligible for an award of prejudgment interest; and (4) the mutual fault of the parties. See *Central Rivers Towing*, 750 F.2d at 574. The existence of a peculiar circumstance is a factual determination which we will review for clear error. *Hillier*, 740 F.2d at 585. If the determination is not clearly erroneous, then the decision to deny prejudgment interest based on the existence of those peculiar circumstances is left to the district court's discretion. *Id.* But this discretion "is not unbridled; it is exercised by law." *In Re Oil Spill By The Amoco Cadiz*, 954 F.2d 1279, 1334 (7th Cir. 1992); see also *Afran Transport Co. v. The Bergechief*, 285 F.2d 119, 120 (2d Cir. 1960) (stating that a district court's discretion to deny prejudgment interest is "a legal discretion, rather than merely one at will."); *The Wright*, 109 F.2d 699, 702 (2d Cir. 1940) (same). In other words, "[d]iscretionary choices are not left to a court's inclination, but to its judgment; and its judgment is to be guided by sound legal principles." *Amoco Cadiz*, 954 F.2d at 1334 (quotations omitted) (citations omitted). As a result, while prejudgment interest in admiralty is within the district court's discretion, "this discretion must be 'exercised with a view to the right to interest unless the circumstances are exceptional.' " *Alkmeon Naviera, S.A. v. M/V MARINA L.*, 633 F.2d 789, 797 (9th Cir. 1980) (quoting *The President Madison*, 91 F.2d 835, 847 (9th Cir. 1937)).

National Gypsum raises two challenges to the district court's refusal to award prejudgment interest. First, it contends that the district court incorrectly denied prejudgment interest on the basis of mutual fault. National

Gypsum does not claim that the district court's finding of mutual fault was clearly erroneous; rather, it maintains that, as a matter of law, mutual fault can no longer constitute a peculiar circumstance justifying the denial of interest. Second, National Gypsum challenges the district court's determination that the City's status as a municipality shields it from having to pay prejudgment interest. We will address each of these contentions in turn.

#### A. Mutual Fault

National Gypsum argues that the mutual fault of the parties cannot constitute a special or peculiar circumstance justifying the denial of prejudgment interest. While acknowledging at oral argument that this court, in *Central Rivers Towing, Hillier and First Nat. Bank of Chicago*, listed mutual fault as a peculiar circumstance, it also correctly pointed out we have never actually relied on this in affirming a district court's denial of prejudgment interest. Accordingly, National Gypsum asks us to consider whether mutual fault should be recognized in this circuit as a valid basis to deny an award of prejudgment interest. In support of its position, National Gypsum urges us to adopt the reasoning of the Ninth Circuit in *Alkmeon Naviera*, which has stated that, in light of the proportionate fault rule announced by the Supreme Court in *United States v. Reliable Transfer*, 421 U.S. 397 (1974), mutual fault can no longer constitute a reason to deny an otherwise appropriate award of prejudgment interest. Therefore, in determining the merits of National Gypsum's arguments, we must first examine the Ninth Circuit's decision in *Alkmeon Naviera*.

*Alkmeon Naviera* involved a collision between two vessels which were both at fault. In ruling on the parties' requests for prejudgment interest, the district court summarily denied the requests, stating without elaboration that the peculiar circumstances of the case did not entitle either party to an award of interest. On appeal, the Ninth Circuit found no basis in the record before it that would justify the district court's determination and, accordingly, reversed and remanded for a determination of existence of special or [sic] circumstances that would warrant the denial of prejudgment interest. See *Alkmeon Naviera*, 633 F.2d at 798.

The portion of *Alkmeon Naviera* relevant to the case before us is where the court discusses the reasons behind the mutual fault exception. The court observed that district courts "denied prejudgment interest in mutual fault cases in order to mitigate the harsh effects of the old equal division of damages rule." *Alkmeon Naviera*, 633 F.2d at 798 n.12. Under that rule, whenever there was a collision resulting from the fault of both parties, then the parties' damages would be added together and the total would be equally divided between them. Under that formula, if one party's damages were greater than the other's, then the court would order the party with the lesser damages to pay over to the other party one-half of the difference between their respective losses, the rationale being that this would equalize the burden. See *The Manitoba*, 122 U.S. 97, 111 (1887); accord *The North Star*, 106 U.S. 17, 22 (1882). Under this regime, however, courts soon recognized that in cases where one party was only slightly negligent, an award of prejudgment interest to the more culpable party would, in effect, penalize the less

culpable party. This is because that party, having already been saddled with paying one-half of the other party's damages, would now have to pay prejudgment interest on that amount as well, even though he was significantly less responsible for the damages incurred. This led some courts in divided damages cases either to award prejudgment interest to the party who was only slightly at fault, or to deny prejudgment interest in cases where the party seeking it was substantially more at fault. See *Alkmeon Naviera*, 633 F.2d at 798 n.12; see also *Iberian Tankers Co. v. Gates Constr. Corp.*, 504 F.2d 747, 748 (2d Cir. 1974) (stating that in a collision case involving mutual fault "the district court has discretion to deny [prejudgment] interest where the party to whom it would be awarded is substantially at fault."); *Afran Transport Co.*, 285 F.2d at 120 (suggesting that an award of prejudgment interest to the less culpable party in a case involving mutual fault would be appropriate to "ameliorate somewhat the harsh American rule that division of damages must be equal without reference to the degree of fault.").

But as stated earlier, the divided damages rule was thrown overboard by a unanimous Court in *United States v. Reliable Transfer* and was replaced with comparative fault. That being the case, the court in *Alkmeon Naviera* reasoned that "distortions in compensation can no longer occur." *Alkmeon Naviera*, 633 F.2d at 798 n.12. In other words, because *Reliable Transfer* extinguished the divided damages rule and thus its harsh effects, there no longer exists a reason to deny prejudgment interest in collisions cases involving mutual fault. In fact, if comparative fault "penalizes wrongdoing [] in proportion to measure of

fault," *Reliable Transfer*, 421 U.S. at 405 n.11, then, according to *Alkmeon Naviera*, to continue denying prejudgment interest on the basis of mutual fault would, in essence, be penalizing the more culpable party twice for the same mistake. See *Alkmeon Naviera*, 633 F.2d at 798 n.12 (citing *Complaint of B.F.T. No. Two Corp.*, 433 F.Supp. 854, 876 (E.D. Pa. 1977)). For these reasons, the court in *Alkmeon Naviera* concluded that it no longer made sense to invoke the mutual fault of the parties as a basis to deny prejudgment interest. More recently, the Sixth Circuit in *Anderson v. Whittaker Corp.*, 894 F.2d 804 (6th Cir. 1990), took note of and agreed with *Alkmeon Naviera's* reasoning in holding that it would no longer consider mutual fault to be a peculiar circumstance justifying the denial of prejudgment interest. *Anderson*, 894 F.2d at 810. We, too, are persuaded by the reasoning in *Alkmeon Naviera* and likewise conclude that, as a matter of law, the mutual fault of the parties should not constitute a reason to deny an award of prejudgment interest in admiralty.

The City raises several reasons to follow the mutual fault exception, none of which merits extended discussion. First, the City appears to argue that the rationale for mutual fault has nothing to do with offsetting the divided damages rule. Instead, the City, relying on *Inland Oil and Transport Co. v. Ark-White Towing*, 696 F.2d 321 (5th Cir. 1983), argues that where the party making a claim to interest is partially at fault, this "weakens his equitable claim that his funds have been withheld by a recalcitrant party." *Inland Oil*, 696 F.2d at 328. The City's contention that the language from *Inland Oil* best provides a basis for denying prejudgment interest in cases involving mutual fault would require a balancing of the equities approach,

an approach we believe cannot be sustained following the Supreme Court's decision in *West Virginia v. United States*, 479 U.S. 305 (1987). There, the United States sought recovery of prejudgment interest on a debt incurred by the state of West Virginia for emergency relief provided by the Army Corps of Engineers. The district court in that case held that the question of whether interest had to be paid depended on a balancing of equities between the parties. The Supreme Court's assessment of this method for refusing to award prejudgment interest was simple: "[T]he Court of Appeals rejected such an approach, *as do we*." *West Virginia*, 479 U.S. at 311 n.3 (emphasis added); accord *Amoco Cadiz*, 954 F.2d at 1334-35.<sup>1</sup>

Second, the City contends that where there is mutual fault, the exact amount of the funds due and owing from each party to the other is not immediately ascertainable and fixed before trial. Because of this uncertainty, the City argues, it is inequitable to charge a party interest for

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<sup>1</sup> We note that the court in *Inland Oil* heard arguments urging that it adopt the reasoning in *Alkmeon Naviera* and abolish the mutual fault exception. The Fifth Circuit, however, rejected this invitation, claiming that the reasoning in *Alkmeon Naviera* was flawed. This was because, according to *Inland Oil*, "comparative fault has long been the rule in maritime personal injury actions. Yet courts drew no distinction between denials of prejudgment interest in collision cases and such denials in personal injury cases." *Id.* (citation omitted). We point out, however, that, except for citing *Reliable Transfer* for the proposition that interest has long been allowed in personal injury cases in admiralty, the court in *Inland Oil* cited no other authority for its statements that admiralty decisions made no distinction between personal injury and collision cases. Therefore, we do not accept *Inland Oil*'s reasons for rejecting *Alkmeon Naviera* in reaching today's conclusion.

not paying an unknown sum. We agree that there are decisions stating that, at least where fault is mutual, prejudgment interest from the date of the collision should be denied due to the uncertainty as to which party will bear the ultimate liability to make payment to the other. See, e.g., *First Nat. Bank of Chicago*, 597 F.2d at 1121 (adopting the rationale of the Fifth Circuit in *Sinclair Refining Co. v. S.S. Green Island*, 426 F.2d 260, 262 (5th Cir. 1970), and stating that in cases involving mutual fault, the uncertainty respecting the party having the ultimate liability should be considered in deciding whether to award prejudgment interest); *The Wright*, 109 F.2d at 702 ("Several cases deny the award of interest . . . where damages are divided as a result of joint fault. This is based on the uncertainty as to the party which will have the ultimate liability to make payment on determination of the balance due."). Of course, using uncertainty as a basis to deny interest in a mutual fault case made sense under the old divided damages regime. This is because under that rule, it was not until after trial that there would be a determination from the district court as to which of the parties would have to come up with the extra money to make the other party whole. But now with the abolition of the divided damages rule and the adoption of comparative fault both parties are liable to each other in relation to their respective degree of fault. In other words, although the exact amount of damages may not be known until after trial, neither party can now claim pretrial uncertainty as to whether he will in fact be liable to the other. Thus, after *Reliable Transfer*, it only makes sense that uncertainty as to eventual liability can no longer be a

factor to consider in determining whether to deny prejudgment interest in cases involving mutual fault.

Lastly, the City contends that this court, on two occasions, in *Central Rivers Towing* and *Hillier*, has had the opportunity to adopt the reasoning of *Alkmeon Naviera* and scuttle mutual fault but has refused to do so. We think the reason for this is clear: the issue of mutual fault was not presented in either case. *Central Rivers Towing*, for example, did not involve a plaintiff who was contributorily negligent; *Hillier* only addressed whether the plaintiff (who was not negligent) could recover prejudgment interest on an award of damages arising out of future losses for pain and suffering. Hence any mention of mutual fault in either of these cases was mere *dicta*. In fact the only decision from this circuit that comes close to applying the mutual fault exception is *First Nat. Bank of Chicago*. In that case, we reversed the district court's initial determination that the plaintiff was not contributorily negligent, and directed the court on remand to reallocate fault between the parties. We also directed the court on remand to determine whether, given the mutual fault of the parties, an award of prejudgment interest to the plaintiff would be inappropriate. See *First Nat. Bank of Chicago*, 597 F.2d at 1121. However, unlike decisions from the Fifth Circuit, which consistently uphold denials of prejudgment interest in mutual fault cases, see, e.g., *Inland Oil*, 696 at 328 (summarizing cases), this court in *First Nat. Bank of Chicago* did not adopt a *per se* rule against prejudgment interest in a case involving mutual fault; rather, the case merely noted that mutual fault was one "factor[]" to be considered by the trier of fact *along with other facts and circumstances* in determining if there exist

the necessary peculiar circumstances that will authorize the exercise of discretion to award less than full compensation by denying interest.' " *First Nat. Bank of Chicago*, 597 F.2d at 1121 (quotations omitted) (citations omitted) (emphasis added). Nevertheless, in order to remove any uncertainty, we depart from this portion of *First Nat. Bank of Chicago* and reiterate our holding that the mutual fault of the parties in an admiralty collision case does not constitute a peculiar circumstance justifying the denial of prejudgment interest.\*\*

#### B. Municipality Status

This justification for denying prejudgment interest need not detain us very long. We have found no cases, nor has the City cited us any, from this circuit or elsewhere which have stated that an award of interest should be denied where the party against whom it is sought is a municipality. In fact, in *Central Rivers Towing*, the plaintiff sought and obtained an award of prejudgment interest at the rate of 12% per annum against the city of Beardstown without the district court or this court ever raising an objection to such an award on the basis that it was being levied against a city. The City has not suggested that we disavow this portion of *Central Rivers Towing*. Accordingly, we refuse to recognize municipality status as a peculiar circumstance warranting the denial of prejudgment interest.

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\*\*This opinion was circulated before release to all judges in active service. See Circuit Rule 40(f). No judge favored a hearing *en banc*.

### C. Calculating the Award

Having determined that National Gypsum is entitled to an award of prejudgment interest, we offer the following to the district court on remand as guidance in calculating that award. First, in keeping with the general rule, the district court should calculate the interest from the date of the accident, see *Central Rivers Towing*, 750 F.2d at 574, which in this case was 1978. As far as the rate at which interest should be calculated, we recognize that such a determination is traditionally left to the district court's discretion. *Id.* But we have said on previous occasions that the best starting point is to award interest at the market rate, which means an average of the prime rate for the years in question. See *Amoco Cadiz*, 954 F.2d at 1332; accord *Gorenstein Enterprises, Inc. v. Quality Care-USA, Inc.*, 874 F.2d 431, 436-37 (7th Cir. 1988); *Central Rivers Towing*, 750 F.2d at 574. In addition, the district court may also want to consider the City's status as a municipality, not as basis to deny prejudgment interest altogether, but as a guide to setting the interest rate. As pointed out by *Amoco Cadiz* and *Gorenstein*, one of the factors used in determining the rate of prejudgment interest is the creditworthiness of the judgment debtor. Thus, the district court could, in its discretion, set the rate of interest to match that which lenders would charge the City for short-term, unsecured loans. See *Amoco Cadiz*, 954 F.2d at 1332; *Gorenstein*, 878 F.2d at 436. As to whether to award compound interest, we conclude that that, too, is a determination better left to the discretion of the district court. See *Transorient Navigators Co., S.A. v. M/S Southwind*, 788 F.2d 288, 293 (5th Cir. 1986). Finally, in calculating its eventual award, we ask the district court to

memorialize its reasoning in order to assist us in the event of future review.

III.

The district court's order denying prejudgment interest is REVERSED. This case is REMANDED to the district court for a determination of prejudgment interest consistent with this opinion.

A true Copy:

Teste:

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*Clerk of the United States Court of  
Appeals for the Seventh Circuit*

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UNITED STATES COURT OF APPEALS

For the Seventh Circuit  
Chicago, Illinois 60604

August 22, 1994

Before

Hon. Walter J. Cummings, *Circuit Judge*

Hon. Daniel A. Manion, *Circuit Judge*

Hon. Robert L. Miller, Jr., *District Judge\**

CEMENT DIVISION,  
NATIONAL GYPSUM  
COMPANY, REED &  
BROWN,  
INCORPORATED, NEW  
YORK MARINE  
MANAGERS,  
INCORPORATED, et al.

*Plaintiffs-Appellants,*

No. 93-2545

v.

CITY OF MILWAUKEE,  
*Defendants-Appellee.*

Appeal from the United  
States District Court for  
the Eastern District of  
Wisconsin.

No. 80 C 1001

Thomas J. Curran,  
*Judge.*

AMENDING ORDER

The court's opinion, issued August 5, 1994, is  
amended as follows:

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\* Hon. Robert L. Miller, Jr., of the Northern District of Indiana, is sitting by designation.

Page 3, lines 1-2: changed to read " . . . in the amount of \$1,677,541.86, which the City promptly paid over to the plaintiffs."

Page 12, line 5: change date to read "1979."

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**UNITED STATES DISTRICT COURT**

EASTERN District of WISCONSIN

CEMENT DIVISION, ETAL

JUDGMENT IN  
A CIVIL CASE

v.

CITY OF MILWAUKEE,

CASE NUMBER:  
80-C-1001

v.

EDWARD E. GILLEN CO., ET AL

(Filed  
May 2, 1993)

[ ] Jury Verdict. This action came before the Court for a trial by jury. The issues have been tried and the jury has rendered its verdict.

[X] Decision by Court. The action came to hearing before the Court. The issues have been heard and a decision has been rendered.

IT IS ORDERED AND ADJUDGED that the Defendant City of Milwaukee is not liable to the Plaintiffs for payment of prejudgment interest on the amount paid in settlement.

IT IS FURTHER ORDERED AND ADJUDGED that this action is dismissed upon its merits.

SOFRON B. NEDILSKY  
Clerk

May 28, 1993  
Date

/s/ C. Brock  
(By) Deputy Clerk

Copy mailed to attorneys for parties by the Court pursuant to Rule 77 (d) Federal Rules of Civil Procedure.

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UNITED STATES DISTRICT COURT  
EASTERN DISTRICT OF WISCONSIN

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CEMENT DIVISION, NATIONAL GYPSUM COMPANY; REED & BROWN, INC.; NEW YORK MARINE MANAGERS, INC.; ALLSTATE INSURANCE COMPANY, c/o American Marine Underwriters, Inc.; HIGHLANDS INSURANCE COMPANY; EMPLOYERS CASUALTY COMPANY OF TEXAS, c/o Texas Marine Underwriters Agency, Inc.; DONALD H. MILLER, INC.; U.S. FIDELITY AND GUARANTEE COMPANY; GREAT LAKES PROTECTIVE ASSOCIATION; THE ATLANTIC COMPANIES; LLOYDS UNDERWRITERS, INSTITUTE COMPANIES, including: COMMERCIAL UNION ASSURANCE CO. LTD., "I" A/o. ANDREW WEIR INSURANCE CO. LTD., ENGLISH & AMERICAN INSURANCE CO. LTD., "M" 1 A/o., ORION INSURANCE CO. LTD., "T" A/o. YASUDA FIRE & MARINE INSURANCE CO. (U.K.) LTD., "T" A/o., ATLAS ASSURANCE CO. LTD., "T" A/o., PHOENIX ASSURANCE CO. LTD., BRITISH LAW INSURANCE CO. LTD., ROAD TRANSPORT AND GENERAL INSURANCE CO. LTD., INSURANCE COMPANY OF NORTH AMERICA (U.K.) LTD., "G" A/o., INSURANCE COMPANY OF NORTH AMERICA (U.K.) LTD., "O" A/o., HOME INSURANCE CO. LTD., "X" A/o., LONDON & HULL MARITIME INSURANCE CO. LTD., HANOVER INSURANCE CO. LTD., SPHERE INSURANCE CO. LTD., DRAKE INSURANCE CO. LTD., BISHOPSGATE INSURANCE CO. LTD., "F" A/o., BRITISH LAW INSURANCE CO. LTD., No. 2 A/o., MINSTER INSURANCE CO. LTD., No. 2 A/o., INSURANCE CORPORATION OF IRELAND, "L" A/o., FOLKSAM INTERNATIONAL INSURANCE CO. (U.K.) LTD., TERRA NOVA INSURANCE CO. LTD. per ANDREW DRYSDALE LTD., ECONOMIC INSURANCE CO. LTD.,

"GENERAL" A/o., c/o Willis, Faber & Dumas Ltd.,  
Ten Trinity Square, London EC3P 3AX England,

Plaintiff,

Case No. 80-C-1001

v.

(Filed May 28, 1993)

CITY OF MILWAUKEE,

Defendant and  
Third-Party Plaintiff,

v.

EDWARD E. GILLEN COMPANY,  
a corporation, and GREAT LAKES  
TOWING COMPANY, a corporation,

Third-Party Defendants.

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### DECISION AND ORDER

This admiralty case is before this court after remand from the Seventh Circuit. *See Cement Division, National Gypsum Company v. City of Milwaukee*, 915 F.2d 1154 (7th Cir. 1990), *cert. denied*, 111 S.Ct. 1583 (1991). On appeal, the Seventh Circuit found that the Plaintiffs were two-thirds negligent in causing damage to the SS EM FORD when that ship was involved in an allision with a berth in the Milwaukee Harbor. The Defendant City of Milwaukee was held to be one-third causally negligent. *See Id.* at 1160.

After liability was established, the parties settled all damage issues except the one presently before this court – whether the Plaintiffs are entitled to prejudgment interest on the damages paid by the City. The parties have briefed this issue which is now ready for resolution.

Although an award of prejudgment interest calculated from the date of the loss is the rule rather than the exception in cases brought under a district court's admiralty jurisdiction, a court may exercise its discretion to deny prejudgment interest if unusual circumstances exist. See *In Re Oil Spill by the Amoco Cadiz*, 954 F.2d 1279, 1331-35 (7th Cir. 1992). A court's discretion is not unbridled, but must be guided by "sound legal principles." *Albermarle Paper Company v. Moody*, 422 U.S. 405, 416 (1975). The Fifth Circuit recently suggested a number of these principles when it approved a jury instruction which charged:

In admiralty cases, the award of pre-judgment interest from the date of the loss is the rule rather than the exception. The decision to deny pre-judgment interest must be based on the existence of peculiar circumstances because pre-judgment interest is awarded as a compensation for a wrong done. It is your responsibility to determine whether to award McDermott, Inc. pre-judgment interest. If you determine that the – that the Plaintiff is entitled to pre-judgment interest; that is, interest from the date of the loss until the date you render your verdict, you must determine the rate at which the interest will be calculated. The circumstances which may justify denial of an award for pre-judgment interest are as follows: A genuine dispute over a good faith claim exists in a mutual fault situation – mutual fault setting; the damages awarded are substantially less than the amount claimed by the Plaintiff; the Plaintiff's contributory negligence is to such a magnitude as to make an award of pre-judgment interest inequitable.

*McDermott, Inc. v. Clyde Iron*, 979 F.2d 1068, 1080 n.17 (5th Cir. 1992), *petition for cert. filed*, 61 U.S.L.W. 3653 (March 12, 1993) (No. 92-1479). *See also Inland Oil and Transport Company v. Ark-White Towing Company*, 696 F.2d 321, 327-29 (5th Cir. 1983).

In the instant case the record shows that from the outset there has been a genuine dispute over the Plaintiffs' good faith claim that the City of Milwaukee was negligent for failing to warn the agents of the Defendants (who were planning to leave the FORD unmanned during the Christmas holidays) that a winter storm could create conditions in the outer harbor at Milwaukee which could damage the ship. The trial court and the court of appeals both found mutual fault for the damage which ensued to the ship and to the Defendant's dock. The court of appeals ascribed two-thirds of the negligence to the Defendant. Thus, in this situation the court concludes that the Plaintiffs' contributory negligence was of such magnitude that an award of prejudgment interest would be inequitable.

One rationale for awarding prejudgment interest is that, from the date of loss, the shipowner has been deprived of the use of the ship or the money expended to replace or repair the vessel, while the other party has enjoyed the use of its money for the same time period and could be accruing market rate interest on the funds. *See, e.g., In re Oil Spill by the Amoco Cadiz*, 954 F.2d at 1331. The City of Milwaukee is not in this position. As a municipality, it has no power to set aside an interest bearing fund at the time of a loss, but can only levy taxes to pay a settlement or final judgment. *See Wis. Stat. ch. 62*. Therefore, this unique circumstance also leads the court to

conclude that prejudgment interest is unwarranted in this case.

For these reasons, the court ORDERS that the Plaintiffs' request for prejudgment interest on the amount paid in settlement by the Defendant IS DENIED.

IT IS FURTHER ORDERED that, all issues in this case having been resolved, this action is dismissed upon its merits.

IT IS FURTHER ORDERED that, pursuant to Federal Rule of Civil Procedure 58, the Clerk of Court shall enter a final judgment as a separate document. This judgment shall provide that:

This action came on for a hearing before the Court, Honorable Thomas J. Curran, District Judge, presiding, and the issues having been duly heard and a decision having been duly rendered.

IT IS ORDERED AND ADJUDGED that the Defendant City of Milwaukee is not liable to the Plaintiffs for payment of prejudgment interest on the amount paid in settlement.

IT IS FURTHER ORDERED AND ADJUDGED that this action is dismissed upon its merits.

Done and Ordered in Chambers at the United States Courthouse, Milwaukee, Wisconsin this 28th day of May, 1993.

/s/ Thomas J. Curran  
Thomas J. Curran  
United States District Judge

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